

THE BUZZ

MPC

POLICY IN SYNC

Just days after the Union Budget, the Monetary Policy Committee of the RBI cut the repo rate by 25 basis points to boost to consumption demand. Will this spark a virtuous consumption cycle?

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► **JUST SIX DAYS** after Union Budget 2025-26 was presented and nearly five years after its last such decision, the Monetary Policy Committee of the Reserve Bank of India (RBI) on February 7 cut the repo rate by 25 basis points taking it to 6.25%.

The move, under new RBI Governor Sanjay Malhotra, who chairs the MPC, comes amidst concerns of slowing growth and ebbing consumer demand that the Budget too tried to address with massive tax cuts for individual taxpayers. Together, these are expected to spark a virtuous cycle, providing taxpayers more disposable income and lower interest rates to make big-ticket purchases from cars to homes and consumer durables, which will then set the wheels of the economy in motion and get the private sector to invest to meet this demand.

The last time the MPC of the RBI cut rates was in early 2020, when it reduced the repo rate amidst the Covid-19 pandemic that had

CHANGE OF GUARD New RBI Sanjay Malhotra kicked off his tenure with a repo rate cut, just like his predecessors

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